🎷 Day 9: Stock Market Simulation: Daily Notes · ANSWER KEY

US History · Unit 9 · Level 3 (closer to the class work) · The Roaring Twenties

Name: _____

🎯 *Today: How the stock market works and why prices go up and down.*

🔁 Warm-up (5-minute review)

1. When you buy stock, you own…
a small part of a company

Key terms: always · down · margin · price · stock

📝 Guided notes

1. A **stock** is a small piece of ownership in a company.
2. If more people want a stock, its **price** goes up.
3. If people sell a stock fast, the price goes **down**.
4. Buying on **margin** meant borrowing money to buy stock.
5. Many 1920s Americans assumed prices would **always** go up.
6. **Speculation** means buying risky stocks hoping for a quick profit.
7. Your **net worth** is everything you own minus what you owe.

✍️ Analyze

1. Why was buying on margin risky?
If prices fell, you still owed the borrowed money and could lose everything.

🎟️ Exit ticket

1. If lots of people sell a stock at once, its price…

A. goes up | B. stays the same | **C. goes down**

2. What causes stock prices to go up or down? What did many Americans assume in the 1920s?
Supply and demand / confidence; they assumed prices would keep rising forever.

🔑 *Key written by our team, please check.*